

October 3, 2025

David Duvall
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Dear Chair Duvall and Workgroup members,

Washington Clean Energy Coalition, and Third Act Washington welcome the opportunity to offer additional recommendations to the Data Center Workgroup.

We would support a sales tax exemption for the construction and operation of data centers in our state, but only if this public investment will provide social, economic, and environmental benefits to residents and businesses, and will not significantly harm anyone.

Workgroup disclosures

We ask the Workgroup to publish this letter and all public comments on the Workgroup's website, as the Utilities and Transportation Commission does for its dockets. Through these communications, we learn useful facts and better understand concerns and suggestions offered by others.

We also request that the website disclose all information used in Workgroup presentations to inform the group's recommendations. At this time, we are in the dark about what this information is and how it was collected.

Existing challenges

As Washington's energy grid seeks to become cleaner, smarter, and more efficient in the coming decades, there are issues that customers, workers, and the environment are facing today:

- **Affordability.** During the past year, average US electricity prices have risen 6.2%. Washington ratepayers are affected. For example, Puget Sound Energy raised its residential electricity rate 18.6% over the past two years. One in six American families are late paying their energy bills.
- **Reliability.** Despite efforts to implement smart grids and harden distribution infrastructure, Washington customers suffered significant power outages last year due to extreme weather events such as the November "bomb cyclone." As we become more reliant on electricity for heating, cooling, cooking, and transportation, reliability is essential for our health and security.
- **Sustainability.** Progress towards a clean energy grid has been affirmed by the legislature, the governor, voters, and the courts. The Climate Commitment Act protects salmon through habitat restoration, local planning grants, and tribal support. Data centers should support these efforts.
- **Jobs.** The Workgroup finds that significant numbers of construction workers and electricians are underemployed.
- **Equity.** In legislation like the Clean Energy Transformation Act, Washington recognizes that the benefits and burdens of energy infrastructure has had inequitable impacts on communities.
- **Availability.** In resource planning meetings, some Washington utilities are considering technologies that aren't expected to be available or cost competitive soon.

Recommendations

Perhaps we can agree that data centers should do no harm and not exacerbate any of these existing challenges. However, to earn public support and tax incentives, data centers must credibly address these challenges and help alleviate them. We believe the following recommendations are achievable and present win-win opportunities for the industry and communities where they are located:

1. Data centers must pay their fair share of all infrastructure necessary to meet their needs. But having a neutral or minimal impact isn't sufficient to justify tax exemptions. To earn favorable tax treatment and the goodwill of neighbors, data centers must reduce community energy costs. This can be done by working with utilities to increase use of renewable energy, energy storage, smart energy management, and efficiency (see the next section).
2. Infrastructure investments shall also deliver a significant increase in electrical reliability for communities that host data centers. Data centers will not compete with other customers for electricity during emergencies and periods of peak demand.
3. Data centers shall not produce greenhouse gases or other emissions that are harmful to living beings. There are many ways data centers can help meet Washington's clean energy goals.
4. For every job (possibly short-term) created to build and operate a data center, at least two long-term jobs shall be created to improve energy resources, energy efficiency, and grid reliability. These jobs will be necessary to achieve all our other goals.
5. By avoiding negative impacts of data centers (water, air, noise, visual), data centers shall not be a burden to any community. The benefits of data centers will encourage many communities to welcome them as desirable neighbors. Equity disparities must not occur.
6. Data centers shall not rely on speculative energy resources. If a data center can only meet its obligations using an energy resource that is not commercially available, it shall not commence operation until that resource is available to produce the needed power.

How?

At first glance, these recommendations might seem optimistic, if not pie-in-the-sky. However, they are feasible through advances in energy technologies, energy efficiency, and smart solutions that are just as miraculous as the surge of artificial intelligence that drives the need for large data centers.

For example, we were surprised by the announcement of the BYD HaoHan Energy Storage System¹ that packs 10 MWh of storage capacity into a standard 20-foot shipping container, doubling the capacity of Tesla's recently announced Megapack 3 battery. With a lifespan of 10,000 cycles, this battery offers a lifetime cost of just 1.4 cents per kWh, a new record low. In the next five years, we will very likely see costs falling below a penny per kWh. Such batteries will allow data centers to continue operation during outages or periods of peak demand, reducing prices for all customers. By including extra batteries in an installation, a data center can contribute electricity to the community, increasing reliability and eliminating the need for fossil fuel generators.

We have seen some encouraging work on data center load ramping depending on availability of electricity. It may be cost effective to reduce workloads during times of high demand, rather than operating at maximum capacity at times when homes are struggling to keep their heat on. Could

¹ <https://www.notebookcheck.net/BYD-doubles-Tesla-Megapack-capacity-with-record-beating-ESS-that-costs-a-cent-per-kWh.1120161.0.html>

computing resources be priced to respond to periods of peak demand or critical availability? Some users might be willing to schedule their usage at times when they can save money.

We are also intrigued by mutual benefits for data center owners and communities through energy infrastructure investments. For example, Rewiring America says that joint investments in heat pumps and residential batteries could unlock 93 GW of electricity² that could be used to power data centers while simultaneously reducing energy bills for customers and improving reliability. This can be achieved at a cost comparable to building 93 GW of gas plants (but much cleaner!).

There are multiple win-win opportunities that make our recommendations achievable and cost effective.

Why?

It should surprise no one that Americans are uneasy with the breakneck pace of AI development. Aside from cautionary warnings authored by top AI experts,³ a super-majority (71%) of participants in a recent Reuters poll wondered if they will still have jobs and a paycheck in the age of AI.⁴ Organized opposition to data centers is growing and projects worth billions of dollars have already been blocked.⁵

To counter this coalescing resistance, data centers must show how they can credibly provide the benefits we have described, with no significant harms to any group or community. If there is even one harm, the public will fear a darker future due to AI and data centers. We believe it is necessary to avoid burdening the public with these fears.

The Data Center Workgroup is in a unique position to provide a framework where we can serve the needs of these exciting new technologies while helping modernize, expand, and stabilize our electricity grid without harm to our communities or our environment. We hope you will act boldly to embrace this opportunity and provide a positive vision for our state and the nation.

Sincerely,

Don Marsh, Washington Clean Energy Coalition
Thomas Kraemer, Third Act Washington

² <https://www.utilitydive.com/news/heat-pump-solar-and-storage-deployment-could-offset-ai-load-through-2029/761013/>

³ <https://www.amazon.com/Anyone-Builds-Everyone-Dies-Superhuman/dp/0316595640>

⁴ <https://www.reuters.com/world/us/americans-fear-ai-permanently-displacing-workers-reutersipsos-poll-finds-2025-08-19/>

⁵ <https://www.datacenterwatch.org/report>